FINANCIAL STATEMENT ANALYSIS

# Anandam Manufacturing Company

*Anand Agarwal has asked the bank for ₹50 million. This is our assessment of whether to lend.*

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THE SITUATION

# The owner and the request

| | |
|---|---|
| **Who** | Anand Agarwal, a textile engineer, started Anandam in 2012 in half of his own house. |
| **What** | Makes formal party dresses for girls up to 12. Sells to retailers and distributors, mostly on credit. |
| **Growth** | Sales up fourfold in three years, ₹2m to ₹8m. Profit up from ₹0.36m to ₹0.84m. |
| **The ask** | He wants ₹50 million to buy machines, add space and expand. |
| **Our job** | The bank manager has handed us the statements. Lend, or not? |

**The size of the request**

## ₹50m

requested

## vs ₹9.16m

the entire company

*He is asking for 5.5 times his whole balance sheet, and 25 times the capital he put in.*

THE CORE PROBLEM

# Growth he cannot pay for

The sales are real. The growth is funded by money he has not collected and stock he has not sold. This pattern is called overtrading.

**18% → 10%**

**Net margin**

Halved while sales rose

**4% → 12.5%**

**Overheads / sales**

Where the profit leaks

**+300% | +131%**

**Sales vs profit growth**

Profit lags far behind

**48%**

**Assets frozen**

In receivables + stock

## The cash position

Three years of trading. Every rupee of profit kept in the business. Cash went from **₹40,000 to ₹106,000**, about six days of running costs.

*Three years of profit have not built up any cash reserve for the business to draw on.*

THE EVIDENCE

# Ratios against the industry

FY15 figures against the industry average from Exhibit 3.

| Ratio | Anandam | Industry | Read |
|---|---|---|---|
| **Gross margin** | 40% | 40% | At par |
| **Return on equity** | 21.7% | 22% | At par |
| **Current ratio** | 1.60 | 2.30 | Below |
| **Quick ratio** | 0.79 | 1.20 | Below |
| **Receivable days** | 106 | 52 | Worse |
| **Inventory days** | 171 | 75 | Worse |
| **Debt to equity** | 136% | 35% | Worse |
| **Interest coverage** | 4.53 | 10 | Below |

### Why this matters

Only two ratios match the industry: gross margin and return on equity. These are the two Agarwal points to.

Every other ratio is below the industry, and worse every year.

**Return on equity holds up only because of heavy borrowing. Without that leverage, the underlying return is falling.**

THE DECISION

# Decline the request, offer a smaller facility

### The interest cover test

Interest cover today  4.53

Add ₹50m at 12%  ₹6m more interest

Cover falls to **0.24**

At 0.24 he could not cover a quarter of the interest. Even if the loan tripled his profit, cover stays below 1.0. This uses only his own numbers, with no industry benchmark applied.

### What to offer instead

- A monitored working-capital limit plus a term loan for machinery, in the range of ₹2 to 4m rather than 50.
- Conditions first: a real credit policy, a debtor ageing system, and some fresh equity from the owner.
- Covenants and staged release, tied to collecting his debtors faster.

**About ₹2.3m of his own money is already tied up in uncollected bills and excess stock. Releasing it reduces how much he needs to borrow.**

In one sentence

# Anandam does not need ₹50 million.

It needs a credit policy, an inventory system, a finance manager, and the discipline to grow at the rate it can fund.

With those in place, the ₹50 million could be funded within about two years. Lending the full amount now would expose the bank to a borrower that cannot service it.